

Further rate hikes less likely as inflation expectations fall

- Consumer inflation expectations for the year ahead fell significantly in May, suggesting that consumers are becoming more optimistic about the current inflation cycle being only temporary.
- Longer-term expectations remained stable at high levels. However, those tend to move much more gradually, and it will likely require several months of lower inflation prints to start feeding through.
- The fall in inflation expectations comes hand in hand with a sharp fall in oil prices. This means that markets are not fully pricing in another hike by the ECB this year anymore, despite the hawkish rhetoric coming out of the central bank. This aligns with our new forecast of no more rate hikes this year.

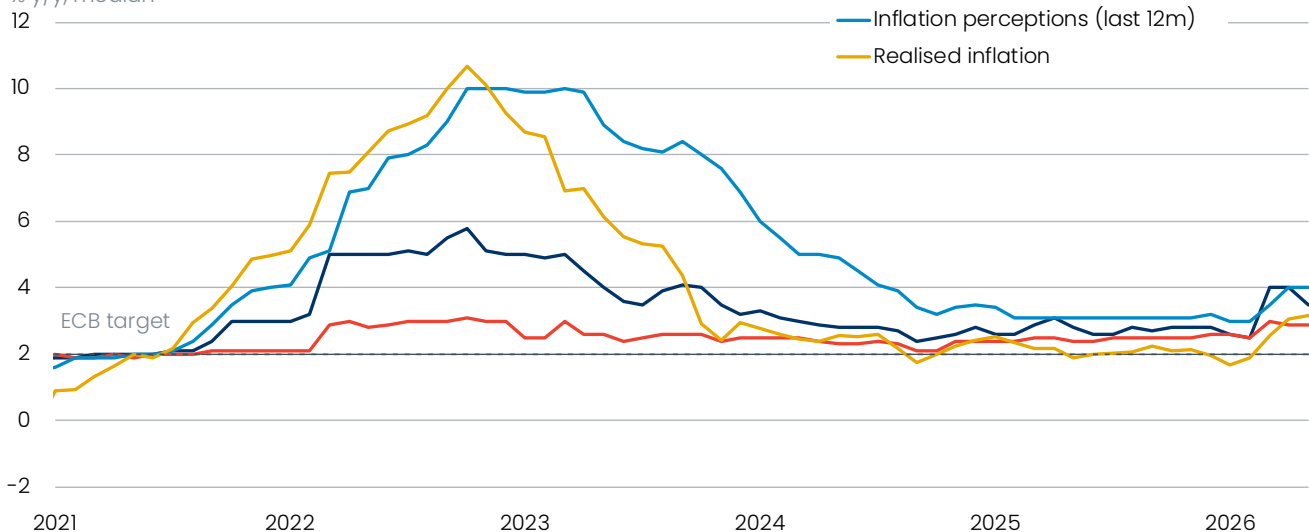
The Consumers Expectations Survey showed inflation expectations for the year ahead fell from 4% in April to 3.5% in May, suggesting that consumers are becoming more optimistic about the inflation shock being only temporary. 3 and 5-year inflation expectations, however, remained uncomfortably high at 2.9% and 2.4% respectively. A fail to return to pre-war levels could start shifting the ECB towards keeping rates at 2.25% more permanently.

The fall in inflation expectations comes at the same as oil prices have collapsed, as the peace deal between the US and Iran is starting to bear fruits, leading to a pick-up in traffic through the Strait of Hormuz. As a result, markets are no longer fully pricing in another rate hike by the ECB this year, a view that matches our [revised forecast](#). Nevertheless, the ECB is sticking to its hawkish rhetoric. Just yesterday, influential member Isabel Schnabel reiterated that another rate hike was needed despite the improvement in the inflation outlook.

Chart 1: 1-year ahead inflation expectations fell significantly in May

Eurozone: Consumer Expectation Survey

% y/y, median



Sources: Oxford Economics, Haver Analytics